E-23 3.4 requirement	Simple meaning	What should you validate?	Result / evidence to produce
Independent from model development	Validator should not be the person/team that developed the model.	Confirm reviewer independence and identify any conflicts.	**Independence confirmation**
Properly specified	Model should be built correctly for its stated purpose.	Review methodology, variables, assumptions, parameters and model design.	**Conceptual Soundness Assessment**
Working as intended	Model should actually produce the expected results.	Independently replicate calculations/outputs and test performance.	**Replication & Performance Test Results**
Fit-for-purpose	Model should be suitable for the business use.	Compare model design, performance and limitations against intended use.	**Fit-for-Purpose Conclusion**
Risk-based review	Higher-risk models need stronger/deeper validation.	Check that validation scope and frequency match the Model Risk Rating.	**Validation Scope / Plan**
Confirm/challenge Model Risk Rating	Don't simply accept the assigned risk rating.	Review complexity, usage, materiality, data reliability, customer impact, etc.	**Model Risk Rating Assessment**
Purpose and scope	Understand what the model does and where it should be used.	Review purpose, business use, scope and coverage.	**Purpose & Scope Assessment**
Conceptual soundness	Methodology should make theoretical/business sense.	Challenge methodology, assumptions, variable selection and model structure.	**Methodology Assessment**

E-23 3.4 requirement	Simple meaning	What should you validate?	Result / evidence to produce
Limitations	Model weaknesses must be understood.	Identify limitations and assess their impact.	**Limitation Assessment**
Mitigants	Controls should address known weaknesses.	Assess whether controls adequately reduce risks from limitations.	**Mitigant Assessment**
Reasonableness of outcomes	Results should make business and statistical sense.	Review predictions, distributions, trends, segments and unusual outputs.	**Outcome Analysis**
Data quality & appropriateness	Data must be reliable and suitable.	Independently assess quality, relevance, representativeness, lineage, etc.	**Data Validation Assessment**
Novel methods / AI/ML	Advanced methods require appropriate challenge.	Review algorithms, tools, training, tuning, overfitting, robustness, etc., as applicable.	**AI/ML Methodology Assessment**
Explainability	Model results should be understandable enough for their use.	Assess whether outputs, key drivers and model behaviour can be appropriately explained.	**Explainability Assessment**
Third-party models/components	Vendor components also need review.	Review third-party models, platforms, data, libraries and sub-components based on their risk.	**Third-Party Model Assessment**
Document review and actions	Keep evidence of what validation did and what happened afterward.	Document tests, conclusions, findings, recommendations and responses/actions.	**Validation Workpapers + Findings Log**

E-23 3.4 requirement	Simple meaning	What should you validate?	Result / evidence to produce
Report findings & recommendations	Clearly tell management what was found.	Summarize material issues, severity, impact and required remediation.	**Validation Report**
Overall approval recommendation	Validator provides a recommendation; approver decides.	Determine whether validation results support model use.	**Recommend Approval / Conditional Approval / Do Not Recommend Approval**

Validation Plan → Independence Confirmation → Risk Rating Assessment → Conceptual Soundness Review → Data Validation → Independent Replication → Performance/Outcome Testing → Limitations & Mitigants Assessment → Explainability/AI/ML/Third-Party Assessment where applicable → Findings Log → Validation Report → Overall Recommendation.